

## Chapter 2

# Reluctant Rivals I—China-US Relations under Trump, Practical Deals or More Challenges?



Generally recognized as the most consequential relationship of the twenty-first century, a range of concepts and models—from the Thucydides’s Trap to a new Cold War paradigm—have been used to analyze US-China relations in an attempt to predict how they will evolve in an age of new great power relations. None of these have been sufficient to encompass the complexities and nuances of the unique state of this relationship, which is so closely intertwined, yet fraught with so many conflicts, from the cultural and ideological to the economic and systemic, which have resulted in an increasing tension in the relationship.

The current rocky nature of US-China relations is in large part due to China’s continued rise, not only resulting from its expanding economic influence that has been building continually since reform and opening-up began more than forty years ago, but also from China’s national confidence, which is the product of an increasingly mature model that offers an alternative to the traditional systems laid out by the United States and the West in general, by comparison, seem to be growing increasingly ineffective in a changing world.

This has grown more poignant in the wake of global crises such as the Asian Financial Crisis and the COVID-19 pandemic, which China has seemed to weather better than the United States and the West overall. The success that China has demonstrated has caused much of the developing world—and even some of the developed world—to reassess their options both in terms of development models, but also in terms of strategic partners in moving forward.

The integrated nature of the global economy, and especially the economies of the United States and China, mean that such tensions are felt throughout the corporate sector straight down to the individual consumer. It’s been said that when America sneezes, the world catches a cold. Napoleon is also often quoted as saying that “China is a sleeping giant, when she wakes, she will shake the world.” Clearly, the influence of these two powers is felt far afield and the world has an interest and responsibility in ensuring that a solution is found to stabilize the relationship and manage tensions.

The EU has a potentially equalizing role, while regional and other non-state players can influence the direction and nature of the evolving relationship.

### **Communication and Talking out a Solution**

From security to economics to values, the sources of conflict seem to abound, but solutions also continue to emerge. The world is intent on finding a way beyond the tensions of the US-China rivalry and into a post-Thucydidean world in which the threat of conflict has been managed. To do this, the US and China must engage and communicate in order to identify issues that can be worked on, such as trade, the environment, and digital technologies, and those that must be put aside for a later date, such as the Taiwan issue, human rights and systemic or value-based differences.

It is dialogue at all levels, from official state visits to regional level interactions, up to and including exchanges between academic and non-profit organizations as well as youth exchange. Ensuring that the lines of communication remain open in a range of sectors to discuss a variety of issues is essential to resolve the current tension and ensure long-term stability.

The term chosen as the title for this chapter, “reluctant rivals”, refers to the love-hate relationship that the United States and China could be said to have for each other. The articles in this book that delve into the ebbs and flows of this relationship cover two American presidents. But, as we are currently in the first half of Donald Trump’s second term, we will start by looking at both the challenges and the potential solutions that his unique style of communication and deal-making approach to managing US-China relations could produce.

The first article in this chapter sums up very clearly China’s view on how relations with the United States should play out, under President Trump or any other president. Titled “In a Globalized World, the US and China Must Build Bridges, Not Walls”, the view that containment, decoupling, or any other form of distancing are actions that would be detriments to relations between the world’s two largest economies. It emphasizes that, far from being a victim of globalization, the United States has benefited greatly from more open trade policies and an overall freer trade environment worldwide, but especially in relation to China. While Trump has been hard on China in terms of trade, in his first term he worked with China to come to an agreement and has echoed this deal-making rhetoric in his second term, but the instability of a new trade war is a challenge that both sides will have to work to overcome.

The second article in this chapter, titled “The US-China Thucydides’s Trap Is by No Means a Foregone Conclusion”, calls to mind the warning proffered by Graham Allison, who compared the rivalry of the US and China to that of Sparta and the rising power of Athens during the Peloponnesian War. But in this article, it is made clear that peace is still a viable option if we act decisively and learn from this powerful historical lesson.

The next article in this chapter, “How to Meet the Trump Era’s Challenges” takes a closer look at what the world and China can do to deal with the potential difficulties posed by a second Trump presidency, focusing on issues that matter to the US and bringing China and the US closer together. And as Trump highlights himself as a master businessman and deal-maker, the fourth article in this chapter focuses

squarely on how a commercial approach could be the best angle to improve relations. Titled “Business Cooperation Could Reset US-China Ties”, the article compares the historical example of how Japan’s growing economy and the perceived threat to the US was mitigated by investment and job creation in the United States contributed to improving bilateral ties and reducing tensions.

### **The Impact of New Leadership in the United States**

The fact that the United States elects a new leadership every four years is a hallmark of its democratic system, but while the overall direction of the country had remained relatively stable in past decades, recent decades have seen a more drastic difference from administration to administration. This has been most acute under Trump’s two terms, which have attempted to remake policy and address what Trump sees as gross trade imbalances that hurt the US economy.

The next article, “Transactional Trump May Well Improve US-China Ties”, takes a hopeful look at bilateral ties and emphasizes how business-like and practically minded Trump could possibly be good for relations between China and the US. And lastly, the final article in this chapter, “What the US Election Outcome Means for China” was an early analysis of what impact the Harris-Trump presidential election would have on relations between the United States and China.

## **In a Globalized World, the US and China Must Build Bridges, Not Walls<sup>1</sup>**

Far from being a victim, the US has been a beneficiary of globalization. It should leverage its advantages and abandon zero-sum thinking by focusing on international cooperation and domestic upgrading.

In recent years there has been a troubling resurgence of unilateral measures by certain countries including tariffs, sanctions, and other protectionist policies.

On April 2, the US unleashed its newest wave of trade protectionism, which is already having real impacts. Even Europe, traditionally a key US ally, has felt the erosion of trust that underpins multilateral cooperation, as market uncertainty intensifies.

Amid this turbulence, one fact remains constant: China and the United States, as the world's two largest economies, share a responsibility to lead the way towards global stability, prosperity, and peace.

At the core of the US' renewed turn towards unilateral trade measures is a fundamental misunderstanding of trade. The Trump administration remains fixated on bilateral goods trade deficits as a measure of national decline, but this ignores the basic structure of the US economy.

In 2024, the US recorded a services trade surplus of nearly US\$300 billion, which does not include contributions by branches of US multinationals abroad. Moreover, advantages like the seigniorage earned from issuing dollar notes, overseas investment returns and the capacity to attract global talent—about 60 per cent of Nobel laureates work in the US—reflect the US' privileged position in the international system.

Far from being a victim of globalization, the United States has been one of its greatest beneficiaries. In truth, the only area where the US runs a consistent trade deficit is goods—and this was never an accident.

America made a deliberate shift towards a service-driven, hi-tech economy. It moved away from low-margin, labour-intensive, and often polluting industries towards sectors that are cleaner, more profitable and globally dominant.

The US leads the world in education, advanced technology, biosciences, the digital economy, and artificial intelligence (AI). The US doesn't need to become the winner that takes all, including labour-intensive industries, and to say that this shift was a failure is to rewrite decades of economic policy.

Furthermore, recent efforts to reverse globalization by imposing tariffs and promoting reshoring have not yielded the intended results. Instead, they have disrupted finely tuned global value chains, increased costs, and undermined economic resilience—particularly harming developing economies.

Southeast Asia's export sectors and Africa's raw material industries have been hit hard, exacerbating inequality and slowing global recovery without benefit for any involved. It is very unlikely that US workers will flock to low-paying jobs, while it is very likely that prices will rise for US consumers as a result of these policies.

History offers a sobering lesson. Under the Smoot-Hawley Tariff Act of 1930, global trade plunged by about 60 per cent, contributing to the Great Depression. More

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recently, tariffs imposed on Chinese goods in 2018 caused American consumers to pay an additional US\$51 billion annually. Today, the US share of global merchandise imports has fallen from nearly 20 per cent two decades ago to just 13 per cent, suggesting that protectionism does not reverse globalization, but simply sidelines those who pursue it.

The resilience of global trade is evident from the creation of the Regional Comprehensive Economic Partnership and the African Continental Free Trade Area, as well as the growing influence of the nations in the BRICS grouping. China has also set zero tariffs for more than 40 of the world's least developed countries.

There is a path forward for the US. Rather than clinging to outdated zero-sum thinking, Washington can reassert its leadership by reinvesting in its comparative strengths: innovation, services, and the hi-tech industry.

It should refocus its trade policy on forging new multilateral frameworks, reviving its role within the World Trade Organization, and enhancing collaboration on digital governance, green technology, and cross-border investment. Domestically, supporting workforce upskilling, modernising infrastructure and attracting international talent would do far more to strengthen long-term competitiveness than tariff barriers ever could.

Even now there are strong foundations for constructive US-China engagement and multilateral cooperation. On issues from Ukraine and Palestine to climate change, and even AI and global health, the two nations have overlapping interests and there is enormous potential for cooperation.

The US should choose to return to multilateralism, mutual investment could serve as a starting point, similar to Japanese investment in the US in the 1980s. There are already successful examples of this, such as Chinese solar equipment maker Longi's investment in a plant in the US.

China is open to discussions on equal terms; cooperation cannot be coerced. The US must choose engagement over attempts to browbeat its partners and allies. Here, past experience offers hope. Following increased US-China cooperation during the Biden administration, synthetic opioid deaths in the US fell 33 per cent in the 12 months ending in October 2024. Opportunities exist for similar collaboration across a range of global challenges.

A stable US-China relationship is not merely beneficial to both countries—it is foundational for global peace. As US President Donald Trump himself remarked in December, “China and the United States can together solve all of the problems of the world”. But achieving that requires not threats and tariffs, but mutual respect, open dialogue, and a shared commitment to a better future.

The United States risks isolating itself if it continues to approach trade and global leadership through a lens of confrontation. Countries around the world—from Germany and Japan to those in the Global South—seek partners committed to stability, openness, and mutual benefit.

Trump has promised to “make America great again”. But tariffs cannot achieve that. True greatness lies in building bridges, not walls. Trade is not a zero-sum weapon; it is a tool for shared prosperity. As the world faces unprecedented challenges, China and the United States must lead together—not apart—for the sake of all humanity.

## The US-China Thucydides's Trap Is by No Means a Foregone Conclusion<sup>2</sup>

From helping mediate in Ukraine aligning with the economic and geopolitical goals of the US under Donald Trump, China may yet defy this dangerous historical specter and produce practically positive political and economic outcomes.

The Thucydides's Trap—the idea that a rising power and an established hegemon are destined for war—often frames China-US tensions and conflict as inevitable. Yet I believe the outcome is determined not by fate, but by choice.

Harvard professor Graham Allison, who popularised the term with his 2012 Financial Times article, agrees with me on the role of human agency. As he put it during an event for my book, *Escaping Thucydides's Trap: Dialogue with Graham Allison on China-US Relations*, held last month on the sidelines of the Munich Security Conference, “Structural forces account for 75–80 per cent of the outcome, but human agency shapes the rest.”

Peace is not an illusion—it's a viable option if we act decisively.

The Thucydides's Trap is based on the competition between Athens and Sparta, a rivalry that ended in war. History offers plenty of similar warnings—rising powers frequently collide with dominant ones. Yet exceptions exist. In the 1890s, Britain and Germany avoided military conflict through economic competition. Allison's book, *Destined for War: Can America and China Escape Thucydides's Trap?*, does not predict doom; it challenges us to rewrite the pattern.

That China's economy achieved 5 per cent growth last year and is projected to grow by another 5 per cent this year despite US containment efforts underscores the stakes. Over 70,000 American companies generate US\$600 billion in sales annually there, with Tesla's Shanghai operations driving its global success. These connections are not incidental—they're a foundation for mutual benefit, favouring cooperation over confrontation, much as trade once steadied European power relations.

US President Donald Trump's return to power introduces a new dynamic. While 80 per cent of Americans view China unfavourably, Trump praised Chinese President Xi Jinping's leadership during his campaign. His focus on economic outcomes over ideological divides sets him apart from Washington's norm.

In Munich, Allison predicted that by January 2026, US-China relations would “surprise us on the upside”, citing Trump's deal-oriented approach and signs of thawing rhetoric. Appointees like former CEO David Perdue and financial expert Scott Bessent suggest a preference for practical engagement over entrenched hostility.

Trump's emphasis on economic priorities opens avenues for dialogue on trade and technology. China's 15th Five-Year Plan, set to begin next year, could provide a framework for new agreements—perhaps in infrastructure or investment in the United States—in line with Trump's stated interests.

On Taiwan, mainland China's economic incentives, such as deepened economic and tourism exchanges, could help ease tensions and foster coexistence. While a

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modern communiqué, building on the 1972 Shanghai accord, which marked the normalization of US-China relations might outline mutual commitments to stability and prosperity.

But this extends beyond bilateral ties—it's a chance to shape global outcomes. Consider Ukraine. Allison argues China could play a pivotal role in resolving that conflict. US Defense Secretary Pete Hegseth has said no American troops would be deployed there, leaving peacekeeping functions to European and non-European forces.

Further, Russia's concerns of NATO encroachment would likely require broader involvement from unaligned parties, and a substantial deployment of non-European peacekeepers. China is already the largest contributor to UN peacekeeping forces among the five permanent members of the UN Security Council, and, together with other BRICS countries, could help convene peace talks, support a negotiated settlement on the Russia-Ukraine war, and provide the neutral peacekeeping presence and security guarantees necessary to sustain it.

Trump's aim to halt that war aligns with this opportunity; his planned visit to China within 100 days of taking office, is a window Beijing, Washington, Brussels, Moscow and Kyiv should seize—we should restore UN credibility and authority and pass a UN Security Council resolution to send UN peacekeeping forces to Ukraine. Negotiations on trade, investment, and even a phase two or phase three agreement could also yield gains in areas Trump values.

Organizing international forums to reframe power transitions as opportunities for collaboration, not just conflict, could shift global perspectives. Success would stabilize regions and show China's capacity to turn rivalry into partnership.

Trump's tariff threats unsettle markets, but his preference for deals over doctrine offers China an advantage. Foreign Minister Wang Yi emphasized in Munich that China's approach rests on respect and mutual benefit—a consistent stance amid uncertainty.

Beijing can propose trade agreements or technology collaborations that appeal to Trump's advisers, including business leaders drawn to China's economic weight. It could encourage a practical approach in Washington. On issues like TikTok, an economic deal might reduce friction. Globally, China can leverage forums like the G20 to articulate a clear message of coexistence—not merely a rebuttal of conflict, but a constructive vision for stability through openness.

The Thucydides's Trap is not a foregone conclusion—it's a call to action. President Xi said it well: "There are a thousand reasons to make the China-US relationship a success, and not a single one to harm it."

From helping to mediate in Ukraine to investing in the US, we can defy historical trends. Deepening ties with American business leaders close to Trump can also reinforce a focus on practical outcomes rather than political posturing. Facilitate peace talks to unite the Global South. Align the 15th Five-Year Plan with US economic goals. Ease tensions through collaboration, not confrontation. Peace requires effort, not chance. The time to act is now.

## How to Meet the Trump Era's Challenges<sup>3</sup>

With Trump in office, China-US cooperation on world peace, trade, fentanyl control, and a visa-free travel policy for US citizens should be top priorities and have the potential to improve ties considerably.

What was predicted to be the most closely contested presidential election in US history ended with former US President Donald Trump's overwhelming victory. This is expected to have profound implications for US-China relations and global governance.

Joseph Nye, American political scientist and Harvard professor, has said during his discussions with me that US political cycles follow a 10-to-20-year pattern, shaping its China policy accordingly. Current relations between China and the United States are probably at the lowest point since the establishment of diplomatic relations between the two countries, but the potential for a cyclical upswing remains where the two countries may avoid the "Thucydides's Trap".

Therefore, as Trump returns to power, China and the US should enhance dialogue and communication and explore the possibility of further consolidating and implementing the San Francisco consensus reached by the two heads of state. This would help prevent the relationship from being hijacked by hawkish elements in the US government.

### *Toward a Peaceful Geopolitical Landscape*

During his presidential campaign, Trump frequently highlighted his record of not initiating wars during his first term and pledged to prioritize ending both the Russia-Ukraine war and Israel-Palestine conflict if reelected president. However, given the deep-rooted complexity of these disputes, he may need China's cooperation to help end the conflicts.

China is not only the largest trading partner of Russia and several Middle East countries but also maintains consistent diplomatic engagement and high-level dialogues with them. The China-brokered peace deal between Saudi Arabia and Iran, along with its proactive infrastructure collaboration, energy partnerships, and trade exchanges, has made significant contributions to the region's stability and development. And China's diplomatic principles of mutual respect, equality, mutual benefit, and win-win cooperation have been widely lauded by Middle Eastern countries.

As for the Korean Peninsula denuclearization issue, China has actively mediated and worked to create the dialogue platforms necessary for resolution. This year marks the 71st anniversary of the signing of the Panmunjom Armistice Agreement, and there is potential to initiate new four-party talks between China, the US, the

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Democratic People's Republic of Korea, and the Republic of Korea to explore the possibility of signing a new peace agreement between the DPRK and the ROK.

Also, China and the US could initiate dialogue on issues such as the Russia-Ukraine war, the Israeli-Palestinian conflict, and the Korean Peninsula denuclearization issue. Such cooperation would align with Trump's commitment to serve as a "peace president".

However, the Taiwan question remains central to China-US relations. The two sides could consider issuing a new joint statement reaffirming their respective positions on the Taiwan question to avoid misunderstandings. Such a statement could reiterate the principles outlined in the three China-US Joint Communiqués and emphasize the importance of the one-China principle and resolving differences peacefully. Such an initiative could not only ease tensions but also create a framework for future interactions. Both sides could also align on issues such as trade, technology and security to make clear their differences, shared interests and cooperation goals.

### ***Advancing Sino-US Economic Cooperation***

Trump is known to take a relatively open stance on Chinese investment in the US, and is likely to leverage such investments to boost domestic manufacturing. During his campaign, Trump emphasized the importance of using tools such as higher tariffs to encourage reshoring while welcoming foreign companies to establish factories in the US. While Trump aims to block Chinese car imports, he has expressed his willingness to support Chinese automakers in establishing manufacturing units on US soil.

Hence, the two sides could hold discussions on how to build on a "Phase One" agreement and advance "Phase Two" trade discussions. Reducing certain tariffs, enhancing technological and investment cooperation, and strengthening economic ties could pave the way for a more stable trade relationship and foster long-term economic growth for both countries.

During his campaign, Trump also talked about large-scale infrastructure plans. In this context, China's extensive experience, advanced technologies and strong construction capability in infrastructure building offer a valuable opportunity for cooperation. The two countries could engage in negotiations and dialogue to enhance infrastructure cooperation, establish an investment promotion mechanism in the infrastructure sector, and facilitate the implementation of China-US infrastructure projects.

### ***Fostering Exchanges Between the Two Peoples***

Even if people-to-people exchanges might face challenges under the Trump administration, sustaining and enhancing such interactions aligns with the broad expectations of individuals and groups in both countries.

First, Chinese government departments, institutions, and non-governmental organizations can adopt a proactive approach by maintaining ties with relevant US entities and facilitating visits for more US legislators, former officials, think tank, experts and scholars, who can help improve China-US relations by developing new frameworks and narratives that guide the relationship toward positive development.

The two governments could also issue visas to journalists from each other's country to act as bridges for communication between the two peoples.

Second, restoring cultural exchange programs, such as the Fulbright Program and other educational and cultural exchange initiatives, and extending the China-US Science and Technology Cooperation Agreement could help promote personnel exchanges and reduce the risk of misunderstandings and misjudgments in Sino-US relations. The China-US Fulbright Program, since its inception in 1979, has involved over 3,000 Chinese and American scholars and students, who have become prominent academics and leaders in their fields.

In addition, the 1979 China-US Science and Technology Cooperation Agreement established a framework for collaboration across various fields, including agriculture, energy, aerospace, healthcare, environment, earth sciences, and engineering. However, after the US government decided not to fully renew it, and following two extensions, the agreement lapsed at the end of August 2024. Trump's return to office may offer an opportunity to revisit these landmark initiatives.

Third, as President Xi Jinping pointed out, the hope of the China-US relationship lies in the people, its future depends on the youth, and its vitality comes from exchanges at sub-national levels. China could leverage the initiative to invite 50,000 young Americans to China on exchange and study programs over five years as a cornerstone for enhancing people-to-people exchanges between China and the US.

In this context, a visa-free travel policy for US citizens traveling to China, or for specific groups, such as youth under 21, could be particularly significant. In the first half of this year, 14.63 million foreign nationals entered China, up 152.7 percent year-on-year. Of these, 8.54 million availed of the visa-free provision, marking an increase of 190.1 percent year-on-year. Visa-free policies have encouraged Western tourists, especially young people, to "tell China's story well" on global social media platforms such as YouTube.

### ***Building Relations on Head-of-State Diplomacy***

Trump is likely to adopt an approach of "strategic retrenchment" and "America first," characterized by transactional strategies to safeguard and advance US interests. In

this regard, once the new US Cabinet is formed, high-level China-US dialogues could be held to make clear each side's priorities and redlines. Extending an invitation to Trump to visit China at an opportune moment could leverage head-of-state diplomacy to guide the bilateral relationship toward a new consensus.

For example, renewed cooperation between China and the US to combat the fentanyl problem and synthetic opioids in the US, including the reestablishment of the China-US Counternarcotics Working Group, was one of the many outcomes of the head-of-state diplomacy at the November 2023 summit between President Xi and US President Joe Biden.

Fentanyl abuse has inflicted significant harm on the US, becoming a leading cause of overdose deaths and a major social challenge. Cooperation between China and the US in this area fostered constructive interactions this year, earning commendation from several US government agencies.

The US seeks to reduce short-term costs in diplomacy, security, and trade by stepping back from the globalization process, relinquishing international obligations, and leveraging its power to secure tangible benefits. The new US administration's approach is likely to focus on more explicit exchanges of benefits, departing from the neoliberal ideological priorities championed by the Democratic Party. Consequently, future engagements between the US and the international community are likely to be centered on straightforward, interest-driven negotiations.

Against this backdrop, it remains to be seen whether recent tensions in China-US relations will significantly ease, given the US' explicit characterization of China's rise as a threat to its interests. Sino-US relations have entered a phase of structural competition and long-term confrontation in which the rivalry for global influence transcends short-term policy shifts and has deepened into a strategic contest.

The path forward hinges on whether the two countries can reach a new consensus on peaceful coexistence and cooperation amid competition, establishing a constructive competition-cooperation framework acceptable to both sides. While the US seeks to maximize its own interests within this dynamic, both countries must recognize that principled cooperation can help maintain the relative stability of bilateral relations, serving their mutual interests.

The metric of "interests" can serve as a practical tool to evaluate the scope and opportunities for China-US interaction and negotiation. It also holds the potential to provide a new turning point for the China-US dynamic.

## Business Cooperation Could Reset US-China Ties<sup>4</sup>

Building on successful examples, China might want to take a lesson from Japan in the 1980s, which defused bilateral frictions by strategically pivoting towards direct investment in US manufacturing.

As US president-elect Donald Trump prepares to take office on January 20, a pivotal moment in US-China relations is unfolding. One day before his inauguration, TikTok faces a shutdown under legislation requiring its Chinese parent, ByteDance, to divest or cease its US operations.

Trump's declaration last month that the United States and China "can together solve all the world's problems" signals a reset in bilateral relations. He showed he was open to practical cooperation in his first term, notably with the phase-one trade agreement, which established frameworks for financial services, intellectual property protection, and expanded economic engagement.

Trump's new team reflects his commercial priorities: David Perdue, with extensive Asian business experience, as US Ambassador to China; Wall Street veteran Scott Bessent as Treasury Secretary; Jamieson Greer as Trade Representative; and Tesla chief Elon Musk—all signaling a business-focused approach.

Business-driven diplomatic breakthroughs are not without precedent. The resolution of US-Japan trade tensions in the 1980s offers instructive parallels. In the 1980s, Japan defused bilateral frictions through a strategic pivot towards direct investment in American manufacturing. Against strict US automotive import restrictions, Toyota's 1985 decision to establish a factory in Kentucky proved transformative, creating jobs directly and throughout the local supply chain. Honda's investment in Ohio reinforced this model, showing how production localisation could address trade imbalances while creating local employment.

Through this "Made in the USA" strategy, Japan balanced its trade surplus while boosting US economic growth. Though China's economic power today far exceeds Japan's in the 1980s, the lesson is clear: strategic investment transformed US-Japan relations. The same approach could stabilise US-China ties today.

Chinese companies in the US show how this investment-led approach can work. Fuyao Glass Industry Group's US\$1 billion commitment to Ohio represented more than a manufacturing investment—it has created thousands of jobs while establishing a model for Chinese industrial expertise to enhance American productivity.

BYD's electric bus facility in Lancaster, California is another strategic milestone. Backed by over US\$250 million in investment in North America and employing more than 750 workers, it is the first Chinese vehicle manufacturer in the US, bringing both clean energy technology and employment opportunities.

CRRC Corp's engagement with Chicago offers another compelling case. After securing a contract to supply railcars to the Chicago Transit Authority in 2016, CRRC invested US\$100 million into establishing a manufacturing facility, creating hundreds of jobs.

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This momentum looks set to accelerate, particularly in the strategic new-energy sector where Chinese companies are bringing advanced manufacturing capabilities to the US market. Contemporary Amperex Technology (CATL), the world's largest battery manufacturer, has a technology licensing partnership with Ford's Michigan plant and is now working on a similar arrangement with Tesla's Nevada facility, notwithstanding the fact that it is now on the US government's list of Chinese companies linked to the military.

CATL's founder and chairman Robin Zeng recently expressed strong interest in building manufacturing plants in the US, aligning with Trump's stance that Chinese companies should "build plants here" and "hire our workers." The timing of these signals suggests Chinese businesses see opportunities to expand operations in the US.

It goes both ways. American companies have found remarkable success in China's vast market. In 2023, China accounted for 63.8 per cent of Qualcomm's global sales revenue, 26.8 per cent of Intel's, and about 33 per cent of General Motors'. Tesla's performance stands out: last year, it sold more than 657,000 cars in China, an 8.8 per cent increase and a record high.

The inclusion of Tesla's cars in government procurement lists is a further sign of China's openness to foreign businesses. Apple's dominance in China's premium market is also notable; the country is Apple's second-largest market for its smartphones. Starbucks added 290 new stores in China in the last three months of its financial year, ended September 30, entering 78 new county-level markets.

The scale of US-China business engagement is substantial. There are estimated to be more than 73,000 US companies in China with investments exceeding US\$1.2 trillion, spanning electronics, automotive, consumer goods, and financial services. From 2009 to 2023, while US global exports grew by 91.1 per cent, its exports to China increased by 112.6 per cent.

Growing business ties are also evident at the recent CES trade show in Las Vegas, where the more than 1300 Chinese companies taking part accounted for 27 per cent of all exhibitors. These success stories underscore how commercial engagement can strengthen bilateral ties even amid broader economic tensions.

Trump's request to the US Supreme Court to halt any legal action on TikTok until he enters office is a signal that the ban may be reconsidered and raises the possibility of breakthrough cooperation in digital commerce. China's recent visa liberalisation, benefiting citizens from 59 countries including the US, also signals a more open stance.

There is potential for even greater opening up, particularly in allowing more international tech companies access to the Chinese market. Major US firms like Google, Microsoft, Meta, and others could benefit from expanded market access and create opportunities for bilateral digital cooperation.

The scope for cooperation can extend well beyond the traditional sectors into the emerging field of artificial intelligence (AI). As frontier AI competition intensifies, shared security concerns can create common ground. Trump's deal-making instincts may give rise to unique opportunities for targeted cooperation in AI safety and governance frameworks.

Trump's commercial mindset, his business-oriented team, and Chinese enterprises' growing investment ambitions point to a clear path: strategic investment and localized production can transform economic tensions into shared prosperity. These business-driven approaches may offer the most practical way to rebuild trust between the world's two largest economies, solving problems through commercial cooperation, one deal at a time.

## Transactional Trump May Well Improve US-China Ties<sup>5</sup>

Despite having issued tariffs on Chinese goods, Trump holds a relatively open attitude towards Chinese business investment in the US, while his diplomacy is transactional focusing on trade-offs.

Although Donald Trump's return as president of the United States brings greater uncertainty, his transactional and pragmatic approach may also provide new possibilities for cooperation and stabilizing relations with China. For a start, the president-elect is likely to open new trade and investment negotiations with China.

True, during Trump's first term from 2017–2021, significant changes took place in the US's economic and trade relationship with China. In 2017, for the first time, the US national security strategy report positioned China as a strategic rival. Months later, the Trump administration started to slap tariffs on Chinese imports, escalating the trade friction into a trade war. During his election campaign, he also said he was considering tariffs of 10–20 per cent on all imports and 60 per cent or higher on Chinese goods.

But Trump, whose administration negotiated the first phase of the Sino-US trade agreement, may also continue to push for Sino-US economic and trade deals in his second term, including on investment. He may well direct his incoming administration to open new negotiations with China on subsidy policies, overcapacity issues and trade imbalances. He could conduct second- or third-phase trade deal negotiations based on the first.

Also, Trump holds a relatively open attitude towards Chinese business investment in the US and may encourage or require them to invest and set up factories. Fuyao Glass, for instance, has set up factories and taken root in the US while Contemporary Amperex Technology Limited (CATL) is in discussions with American companies about investing in the US.

Trump has close ties with the business community, including many Fortune 500 companies such as Tesla, Blackstone, and Apple. These companies have long-term investments in China, and this may prompt some rationality in the new Trump administration, which might even lift some limits on Chinese-owned companies such as TikTok and sanctions on individuals.

Trump will also need to seek Chinese support to resolve the wars he has promised to end. Positioning himself as the president for peace, he has claimed he can end the Russia-Ukraine war before his inauguration, even within 24 hours, and threatened to cut military aid to Ukraine if need be. He also reportedly told Israel to end its war before his presidency starts next January.

Trump's diplomatic thinking is centred on realism, with a stronger transactional style of seeking trade-offs. China is the largest trading partner of Russia and the Gulf Cooperation Council comprising Bahrain, Kuwait, Oman, Qatar, Saudi Arabia, and the United Arab Emirates.

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<sup>5</sup> First published on November 9, 2024 by SCMP and revised for this collection.

It is playing a growing role diplomatically in the Middle East. China not only helped Saudi Arabia and Iran to reconcile, but also brought together the representatives of 14 rival Palestinian factions to sit down in Beijing for unity talks, showcasing Chinese efforts towards peace and a deft use of soft power. China is also Ukraine's largest trading partner and can play an active role in helping Kyiv rebuild post-war.

When it comes to the Korean peninsula, Trump had previously sought China's help on the North Korean nuclear issue. If he continues to work with China, the 1953 Korean War armistice could well be upgraded to four-party talks including China and the United States, with the goal of reaching a lasting peace agreement.

Trump, who has repeatedly accused Taiwan of stealing the US's chip industry, is also likely to take a more pragmatic attitude towards the island, where the pro-independence Democratic Progressive Party won just 40 per cent of the vote in the presidential election. It is possible that China and the US will work to maintain the status quo on Taiwan, to avoid further escalation of tensions and prevent any accidental conflict.

If Trump can keep to the three Sino-US joint communiqués, China and the US could even reach a new consensus or agree on a new communiqué to promote the peaceful reunification of Taiwan and the Chinese mainland.

There are many other possible areas of cooperation. China and the US can jointly address global challenges such as climate change, fentanyl issues, the governance of artificial intelligence, and the debt burdens of Global South countries. Such cooperation would benefit not only both countries, but also the world.

China can also promote its inbound tourism, establish a visa-free policy for US citizens, increase the number of resident journalists in both countries, and expand access to some platforms to foster more open exchanges of culture and other information to reduce tensions and build trust.

Expanding access to platforms such as Google, Facebook, and Twitter in China could also foster a more open exchange of information and culture between the two nations. Similarly, the US could consider pulling back from restrictions on platforms such as TikTok.

Sino-US relations have entered a period of structural competition and long-term confrontation. The competition for global influence has gone beyond the scope of short-term policy adjustments and evolved into a strategic game.

The key to the future of Sino-US relations lies in whether the two sides can reach a new consensus on cooperation, and coexistence in the midst of their competition, maintain stable bilateral relations and make this stability a priority.

Although Trump's policies are highly uncertain, his pragmatic and transactional style may provide a buffer against Sino-US tensions. When he takes office, Beijing and Washington should work to quickly align and list their points of cooperation, and strive to build a stable and predictable framework.

As the two largest economies in the world, China and the US have an obligation to contribute to global peace and development, which is also the hope of the many countries that would rather not have to take sides.



## What the US Election Outcome Means for China<sup>6</sup>

Leading up to the US election, expectations of better relations but higher tariffs under Trump or a status quo of competitive rivalry under Harris was expected.

The US presidential election is reaching a critical point, with both parties' candidates in the final sprint and polling neck-and-neck. The close race has captured global attention, and China is no exception.

As the world's two largest economies, the United States and China have a complex and pivotal relationship, and the election's outcome will undoubtedly shape the future of their interactions. From trade and security to technological competition and climate cooperation, US policies on China under the next administration will have profound and lasting effects, not only on bilateral ties but on the broader international order.

Regardless who is elected, the structural tensions are an undeniable reality and have become a widely accepted bipartisan consensus within the US. Changing this consensus will require time and joint efforts from both sides. With both the Chinese and US governments already navigating these dynamics, the question remains: How can both nations move forward? I hope to offer some analysis and insights on the possible outcomes and their implications on this most important bilateral relationship for the world.

### *If Trump Wins: Higher Tariffs but Pragmatic Cooperation*

If Donald Trump wins the election, he says he will impose higher tariffs on imported goods, especially those from China. He has indicated that he considered imposing a comprehensive tariff of 10 to 20 percent on all imported goods and a 60 percent or higher tariff on Chinese goods. In addition, if he selects a hawkish team to dominate US policy, his administration likely will not only force Chinese enterprises to reduce exports to the United States, but may also reduce non-governmental contacts between the two countries, such as educational and academic exchanges, thus impacting public perceptions on both sides.

However, to fulfill his promise of being a peace-making president, Trump may have to seek cooperation with China. He has repeatedly claimed that he has the ability to end the Russia-Ukraine war within 24 hours—or even before his inauguration. He is also promising to end the Israeli-Palestinian conflict. Although this claim is suspicious given the complexity of the Middle East and the Russia-Ukraine war, Trump cannot fulfill his promises without China's help. He previously sought help on the North Korean nuclear issue, and at the end of 2016 China voted in favor of sanctions against the DPRK at the United Nations, demonstrating its important influence in regional affairs.

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China is the largest trading partner of both Russia and Ukraine. These close economic ties give China a unique opportunity to play a greater role in peace-making efforts. Similarly, in the Middle East, China is the region's largest trading partner and has helped facilitate reconciliation between Iran and Saudi Arabia, as well as the release of the Beijing Declaration by 14 Palestinian factions. China can potentially help Trump truly become a peace-making president.

Trump may also continue to push for negotiations on economic and trade issues involving China. Trump is a pragmatic politician who focuses on solving specific problems. During his previous term, he completed the Phase One China-US trade deal, showing a pragmatic attitude on economic issues such as the deficit problem and trade surplus. If Trump is re-elected, the two sides could further discuss subsidy policies, intellectual property protection, overcapacity issues, balance of trade and other things. This pragmatic strategy also means that Trump may value specific results over ideology. Therefore, in practice, Trump may choose to continue negotiations on economic issues to protect US interests.

Trump has a relatively open attitude toward Chinese investment in the United States and may take multiple measures to encourage or require Chinese enterprises to invest and set up factories there. During the campaign, Trump repeatedly stated that he hoped to encourage the return of the manufacturing industry through higher tariffs and welcomed foreign-funded enterprises to set up factories in the United States. Because of the China-US trade war, a large number of Chinese enterprises that had wanted to enter the US market set up factories in Mexico instead.

Trump has said that if Chinese enterprises can adhere to US requirements, he would welcome Chinese car manufacturers building factories in the United States. This would open up new space for China-US economic cooperation. Fuyao Glass has already set up factories in the US and taken root. CATL is currently negotiating with American enterprises about investment and establishing a presence. Elon Musk's support after the election could encourage Trump to take a more pragmatic approach, especially given Tesla's extensive operations in China. In contrast, the current administration's policy in this regard is more conservative. It has even blocked investment by some Chinese enterprises.

On the Taiwan issue, Trump may continue to adopt a pragmatic attitude, and the two sides may continue to communicate on the basis of maintaining the status quo. Trump has said that Taiwan should pay the United States for protection, explaining that it's similar to buying insurance. If Trump comes to power, he may stick to the "one China" policy and reiterate the Three Communiqués endorsed by all US presidents in the past.

### ***If Harris Wins: Status Quo with China and More Certainty***

If Kamala Harris is elected, she will most likely inherit the policy of "competitive rivalry" established by the Biden administration and continue to adhere to the

“investment, alliance, competition” trilogy, balancing China’s influence by strengthening relations with US allies. In trade and industry, she may continue to promote industrial chain coordination with allies and oppose the imposition of high universal tariffs on China, but she will focus on competition in key strategic areas. In technology, she is expected to continue to strengthen the competitive thinking of “invest in America” and “small yard, high fence,” and strengthen the monitoring of US technology companies and keep playing the China-US technology containment game. But overall, Harris’s election will also avoid directly intensifying the China-US conflict and maintain the current state of affairs.

Harris’s background in California and her knowledge of the Asian-American community gives her a certain understanding of the complexity of the China-US relationship. Harris came up in California, and China is California’s largest trading partner. The most economically developed state in the United States, California has more than six million Asian-Americans, of which about two million are Chinese-Americans. Her vice president, Tim Walz, also has a rich knowledge of China. He previously worked as a teacher in China, knows the Chinese language, spent his honeymoon in China and organized more than 30 study tours to China for American students. These experiences give Walz a direct understanding of Chinese culture and society, which may help the Harris administration to pay more attention to long-term communication and non-governmental sectors when managing the China-US relationship. This may also help to avoid alienating Asian-Americans and other immigrant groups in the United States by imposing overly tough policies on China.

The Harris administration may also try to strengthen bilateral dialogue and communication channels in its relations with China to establish cooperation pipelines. After the China-US summit in San Francisco last year, the two sides resumed a number of exchange mechanisms, with continued dialogue on climate change, artificial intelligence, fentanyl, defense, trade, and finance. And cooperation would likely continue. Harris briefly mentioned China in her nomination speech, and her tone was relatively mild, indicating that she may prefer to maintain a competitive advantage over China in the future.

### ***Possible Pathways for US-China Relations***

Regardless of the outcome of the election, there remains vast potential for cooperation between China and the United States. Together, they could work toward global peace and address a host of pressing challenges, including not only the Russia-Ukraine war and tensions in the Middle East but also climate change, AI governance, and the debt burdens of Global South countries. Collaboration on these issues would address shared responsibilities, benefiting not just the two nations but, the world as a whole.

Both China and the United States should consider in advance how to “synchronize” in the event Trump is re-elected, including on issues such as the Russia-Ukraine war and the Taiwan question. China and the United States should coordinate their efforts toward peace, leveraging China’s influence on the Russian side and in the

Middle East to help Trump fulfill his promise of being a peace-making president. This would establish a foundation for cooperation between China and the United States on international peace.

The Taiwan question is a core issue for China and the United States. It may be possible to consider making a new joint statement to clarify the positions of both sides to avoid misunderstandings and misjudgments. Such a statement could potentially reiterate the content of the three China-US Joint Communiqués, emphasize the importance of the “One-China” principle and encourage both sides to resolve differences through peaceful means—maintaining the status quo.

If Trump is elected, China-US economic and trade investment cooperation could improve, and China’s advantages in manufacturing could be leveraged to achieve a win-win outcome with the United States. On tariffs, China could suggest practical cooperation on the premise of reducing some tariffs to drive the recovery of the US manufacturing industry through investment, technological cooperation and other ways, which would create jobs for the United States and help revitalize local economies. China’s manufacturing advantages can supplement the US supply chain and help both sides achieve a mutually beneficial result on economic issues. Further, second-phase negotiations could also go forward on trade to improve the China-US trade relationship through practical discussions and cooperation.

The consensus reached in San Francisco should be consolidated and implemented, with high-level dialogue channels kept open. China’s five-year proposal to welcome 50,000 American youth to China would enhance friendly exchanges between both peoples. If Harris is elected, it is likewise hoped that both sides will continue to implement the points of agreement reached by the presidents in San Francisco.

China should also vigorously promote openness in inbound tourism. It would be beneficial for China to establish a visa-free policy for the United States similar to what’s in place for 20 European countries. China and the United States should also increase the number of resident journalists in both countries, as it is of great importance to have a real, broad, and comprehensive understanding of each other.

Expanding access to platforms such as Google, Facebook, and Twitter in China could also foster a more open exchange of information and culture between the two nations. The US should consider pulling back from restrictions on platforms such as TikTok, as mutual access to digital spaces would enhance understanding and communication, reduce tensions, build trust, and support a healthier, more balanced digital ecosystem.

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